information reported to ITV, as of November 25, 2022, there were approximately 155,000 active credit security-based swaps with gross notional amount outstanding of approximately $1.9 trillion.

Table 1 also shows that U.S. SBS market participants trade a variety of security-based swaps in each of the three asset classes. Based on information reported to DDR, as of November 25, 2022, for active credit security-based swaps, single-name corporate CDS constitute the largest product type, with approximately 364,000 active CDS and $1.6 trillion gross notional amount outstanding. The second largest active credit security-based swaps product type consists of single-name sovereign CDS, with approximately 94,000 active CDS and $0.9 trillion gross notional amount outstanding.

For active equity security-based swaps, equity portfolio swaps constitute the largest product type, with approximately 2.3 million active equity portfolio swaps and $1.7 trillion gross notional amount outstanding. The second largest active equity security-based swaps product type consists of equity swaps, with approximately 492,000 active equity swaps and $1.2 trillion gross notional amount outstanding.[818]

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represents the total outstanding notional value of active, market-facing security-based swaps on Nov. 25, 2022. Security-based swaps are considered to be "market-facing" when they are executed at arms-length between third parties. While a reporting party is only required to report a transaction to one SBSDR—either DDR or ITV—some uncleared security-based swaps in DDR also appear in ITV. As of Nov. 25, 2022, there were 605 active credit security-based swaps in ITV that were reported as uncleared (0.4% of the 154,903 active credit security-based swaps in ITV). The 605 active credit security-based swaps had a gross notional outstanding of $4.73 billion (0.3% of the approximately $1,900 billion gross notional outstanding of all active credit security-based swaps in ITV). These statistics provide an upper bound of the overlap between ITV and DDR and indicate that the overlap is very limited in scope. *See* SBS Report, *supra* note 815, at 4, 10.

[818] An equity swap references a single underlier while an equity portfolio swap involves a portfolio wrapper under which multiple swaps can be traded with operational efficiency. *See* ISDA, *Central Clearing in the Equity Derivatives Market: An ISDA Study* (June 2014) at 10, *available at* https://www.isda.org/a/6PDDE/central-clearing-in-the-eqd-market-final.pdf; ISDA Taxonomy 2.0 – Finalized, ISDA.org (Sept. 4, 2019), *available at* https://www.isda.org/a/o1MTE/ISDA-Taxonomy_EQ-CR-FX-IR_v2.0__3-_September_2019-FINAL.xls.

In the interest rate asset class, exotics constitute the largest product type, with approximately $0.1 trillion gross notional amount and 4,400 active exotic swaps outstanding.

Based on information reported to ITV, as of November 25, 2022, active credit security-based swaps fall into two product types. Single-name corporate CDS constitute the largest product type, with approximately 135,000 active CDS and $1.3 trillion gross notional amount outstanding. The second largest active credit security-based swaps product type consists of single-name sovereign CDS, with approximately 20,000 active CDS and $0.5 trillion gross notional amount outstanding.

**Table 1. Gross notional amount and active security-based swaps outstanding on Nov. 25, 2022, categorized by asset class and product classification.[a]**

| SBSDR | Asset Class | Product Type | Gross Notional Amount Outstanding (Millions of USD) | Active Security-Based Swap Count |
|---|---|---|---|---|
| DDR | Credit | Index | 44,407 | 2,992 |
| | | Single-Name: Corporate | 1,556,315 | 364,465 |
| | | Single-Name: Sovereign | 900,072 | 93,807 |
| | | Total Return Swap[b] | 156,849 | 49,867 |
| | | Other[c] | 122,970 | 12,081 |
| | | Total | 2,780,613 | 523,212 |
| | Equity | Portfolio Swap | 1,688,672 | 2,266,706 |
| | | Swap | 1,183,279 | 491,508 |
| | | Contract For Difference | 398,952 | 642,965 |
| | | Option | 6,915 | 1,281 |
| | | Forward | 5,663 | 1,393 |
| | | Other[d] | 330,136 | 41,115 |
| | | Total | 3,613,617 | 3,444,968 |
| | Interest Rate | Exotic | 153,306 | 4,419 |
| | | Forward | 23,818 | 1,164 |
| | | Other[e] | 868 | 122 |
| | | Total | 177,992 | 5,705 |
| ITV | Credit | Single-Name: Corporate | 1,348,002 | 134,741 |
| | | Single-Name: Sovereign | 544,414 | 20,162 |
| | | Total | 1,892,416 | 154,903 |

[a] For cleared security-based swaps in DDR, this table incorporates only one of the two security-based swaps that result from the clearing process. For ITV, this table incorporates all of the cleared security-based swaps.

[b] As a general matter, total return swaps include non-CDS debt-based security swaps, equity-based security swaps,

and mixed swaps. Counterparties in the total return swaps market use the contracts to obtain exposure, usually leveraged, to the total economic performance of a security or index and benefit from not having to own the security itself. Market participants, such as mutual funds, hedge funds, and endowments, use total return swaps to obtain exposure in markets where they would face difficulties purchasing or selling the underlying security (e.g., a market participant may find it difficult to buy a foreign company's security or locate a security to sell short) while taking advantage of the capital efficiencies of not holding the security in their inventories.

[c] Includes the following products reported to SBSDRs: exotic, index tranche, swaptions, and other single-name (e.g., asset-backed, loan, and municipal security-based swaps).

[d] "Other" is a category in the DDR Equity Product ID field. All Product ID categories are listed in the table.

[e] Includes the following products reported to SBSDRs: inflation, debt option, and cross-currency.

Table 2 shows that both SBS Entities and non-SBS Entities participate in all three asset classes in the U.S. security-based swap market. Based on information reported to DDR, as of November 25, 2022, SBS Entities and non-SBS Entities had, respectively, entered into approximately 813,000 and 234,000 active credit security-based swaps.[819] The gross notional amounts outstanding of the active credit security-based swaps held by SBS Entities and non-SBS Entities were, respectively, approximately $4.4 and $1.2 trillion.

In the equity asset class, SBS Entities and non-SBS Entities had, respectively, entered into approximately 4.0 million and 2.9 million active equity security-based swaps. The gross notional amounts outstanding of the active equity security-based swaps held by SBS Entities and non-SBS Entities were, respectively, approximately $4.5 and $2.7 trillion.

In the interest rate asset class, SBS Entities and non-SBS Entities had, respectively, entered into approximately 6,200 and 5,200 active interest rate security-based swaps. The gross notional amounts outstanding of the active interest rate security-based swaps held by SBS Entities and non-SBS Entities were, respectively, approximately $0.2 and $0.1 trillion.

[819] For cleared security-based swaps where at least one counterparty is an SBS Entity, Table 2 reflects the security-based swaps entered into by each of the original counterparties, but does not include the positions of the clearing agencies themselves. For uncleared security-based swaps, Table 2 reflects the security-based swaps entered into by each of the original counterparties. *See* SBS Report, *supra* note 815, at 5.

Based on information reported to ITV, as of November 25, 2022, SBS Entities and non-SBS Entities had, respectively, entered into approximately 123,000 and 33,000 active credit security-based swaps. The gross notional amounts outstanding of the active credit security-based swaps held by SBS Entities and non-SBS Entities were, respectively, approximately $1.6 and $0.3 trillion.

**Table 2. Gross notional amount and active security-based swaps outstanding on Nov. 25, 2022, categorized by asset class and registrant type.**[a]

| SBSDR | Asset Class | Registrant Type | Gross Notional Amount Outstanding (Millions of USD) | Active Security-Based Swap Count |
|---|---|---|---|---|
| DDR | Credit | Total | 5,561,226 | 1,046,424 |
| | | SBS Entities | 4,403,130 | 812,647 |
| | | Other | 1,158,096 | 233,777 |
| | Equity | Total | 7,227,234 | 6,889,936 |
| | | SBS Entities | 4,490,592 | 4,013,393 |
| | | Other | 2,736,642 | 2,876,543 |
| | Interest Rate | Total | 355,984 | 11,410 |
| | | SBS Entities | 210,663 | 6,214 |
| | | Other | 145,321 | 5,196 |
| ITV | Credit | Total | 1,897,249 | 155,578 |
| | | SBS Entities | 1,632,251 | 122,831 |
| | | Other | 264,998 | 32,747 |

[a] For cleared security-based swaps where at least one counterparty is an SBS Entity, Table 2 reflects the security-based swaps entered into by each of the original counterparties, but does not include the positions of the clearing agencies themselves. For uncleared security-based swaps, Table 2 reflects the security-based swaps entered into by each of the original counterparties.

In addition to information reported to registered SBSDRs, the Commission also uses nonpublic data from the DTCC Derivatives Repository Limited Trade Information Warehouse ("DTCC-TIW") to describe the baseline, specifically the single-name CDS market. DTCC-TIW provided data regarding the activity of market participants in the single-name CDS market

during the period from November 2006 to September 2022.[820] The Commission acknowledges that limitations in the data constrain the extent to which it is possible to quantitatively characterize the security-based swap market.[821]

Firms that act as SBS dealers[822] play a central role in the single-name CDS market. Based on an analysis of single-name CDS data in DTCC-TIW in the 12-month period from October 2021 to September 2022, accounts of registered SBS dealer firms intermediated transactions with a gross notional amount of approximately $1.7 trillion, with approximately 66% of the gross notional intermediated by the top five SBS dealer accounts.

These SBS dealers transact with hundreds or thousands of counterparties. One SBS dealer (when accounts are sorted by number of counterparties) transacted with over a thousand counterparty accounts, consisting of both other SBS dealers and non-SBS dealers. The next 13% of SBS dealers each transacted with 500 to 1,000 counterparty accounts; the following 21% of SBS dealers each transacted with 100 to 500 counterparty accounts; and 64% of SBS dealers each transacted security-based swaps with fewer than 100 counterparty accounts in the 12-month

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820 DTCC-TIW provided weekly positions and monthly transaction files for single-name and index-based CDS that had been received voluntarily from market participants. These data cover all positions and transactions where one of the counterparties is a U.S. entity or the reference entity is a U.S. entity, with status as a U.S. entity determined by DTCC-TIW. In DTCC-TIW, the Commission observes end of week CDS positions for all U.S. entities, foreign counterparties to a U.S. entity, or foreign counterparties trading a CDS referencing a U.S. underlying entity. The DTCC-TIW data have limitations. The data do not address two foreign counterparties with CDS referencing foreign underlying entities. In addition, the DTCC-TIW data do not provide any intra-weekly CDS position information, nor any information on the underlying security holdings of reference entities. The Commission had used DTCC-TIW data in prior rulemakings, most recently in Prohibition Against Fraud, Manipulation, or Deception in Connection with Security-Based Swaps; Prohibitions Against Undue Influence over Chief Compliance Officers, SEA Release No. 97656 (June 7, 2023), 88 FR 42546 (June 30, 2023).

821 *See supra* note 820 (discussing DTCC-TIW data limitations). The Commission also relies on qualitative information regarding market structure and evolving market practices provided by commenters and the knowledge and expertise of Commission staff.

822 Dealers are generally persons engaged in the business of buying and selling securities for their own account, through a broker or otherwise. 15 U.S.C. 78c(a)(5). SEA Rule 3a71-1 defines the term security-based swap dealer. 17 CFR 240.3a71-1.

period from October 2021 to September 2022. The median number of counterparty accounts across SBS dealers is 18 (the mean is approximately 172). Non-SBS dealer counterparties transacted almost exclusively with these SBS dealers. The median non-SBS dealer counterparty transacted with one SBS dealer account (with an average of approximately 1.8 SBS dealer accounts) in the 12-month period from October 2021 to September 2022.

Non-SBS dealer single-name CDS market participants include, but are not limited to, investment companies, pension funds, private funds, sovereign entities, and industrial companies. The Commission observes that most users of CDS that are not SBS dealers do not engage in trading directly, but trade through banks, investment advisers, or other types of firms, which are collectively referred to as transacting agents, consistent with DTCC-TIW terminology.[823] Based on an analysis of DTCC-TIW data, there were 2,397 transacting agents that engaged directly in trading between November 2006 and September 2022.[824]

As shown in Table 3 below, approximately 79% of these transacting agents were identified as investment advisers, of which approximately 40% (about 32% of all transacting

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[823] Transacting agents participate directly in the single-name CDS market, without relying on an intermediary, on behalf of their principals. For example, a university endowment may hold a position in a single-name CDS that is established by an investment adviser that transacts on the endowment's behalf. In this case, the university endowment is a principal that uses the investment adviser as its transacting agent.

[824] These 2,397 transacting agents, which are presented in more detail in Table 3 below, include all DTCC-defined "firms" shown in DTCC-TIW as transaction counterparties that report at least one transaction to DTCC-TIW as of Sep. 2022. The staff in the Division of Economic and Risk Analysis classified these transacting agents by matching names, automatically or manually, to third-party databases. *See, e.g.*, ANE Adopting Release, 81 FR 8602, at n.43. Manual classification was based in part on searches of the EDGAR and Bloomberg databases, the SEC's Investment Adviser Public Disclosure database (*available at* https://adviserinfo.sec.gov/), and a firm's public website or the public website of the account represented by a firm. The staff also matched names using International Swaps and Derivatives Association (ISDA) protocol adherence letters available on the ISDA website. *See* ISDA, Small Bang Protocol List of Adhering Parties, *available at* https://www.isda.org/traditional-protocol/small-bang-protocol/adhering-parties/; ISDA, Small Bang Protocol List of Adhering Parties, https://www.isda.org/traditional-protocol/big-bang-protocol/adhering-parties/.

agents) were registered as investment advisers under the Investment Advisers Act.[825] Although investment advisers were the vast majority of transacting agents, the transactions they executed account for only 15% of all single-name CDS trading activity reported to DTCC-TIW, measured by number of transaction-sides (each transaction has two transaction sides, i.e., two transaction counterparties). The vast majority of transactions (81.3%) measured by number of transaction-sides were executed by ISDA-recognized SBS dealers.

**Table 3. The number of transacting agents by counterparty type and the fraction of total trading activity, from Nov. 2006 through Sep. 2022, represented by each counterparty type.**

| Transacting Agents | Number | Percent | Transaction share |
|---|---|---|---|
| Investment Advisers | 1891 | 78.9% | 15.0% |
| *- SEC registered* | *762* | *31.8%* | *10.0%* |
| Banks (non-ISDA-recognized SBS dealers) | 279 | 11.6% | 3.3% |
| Pension Funds | 31 | 1.3% | 0.1% |
| Insurance Companies | 49 | 2.0% | 0.2% |
| ISDA-Recognized SBS Dealers[a] | 17 | 0.7% | 81.3% |
| Other[b] | 130 | 5.4% | 0.2% |
| Total | 2,397 | 100.0% | 100% |

[a] For the purpose of this analysis, the ISDA-recognized SBS dealers are those identified by ISDA as belonging to the G14 or G16 dealer group during the period. *See, e.g.*, ISDA, 2010 ISDA Operations Benchmarking Survey (2010), *available at* https://www.isda.org/a/5eiDE/isda-operations-survey-2010.pdf.

[b] This category excludes clearing counterparties (CCPs). Same-day cleared trades are recorded in the DTCC dataset as two clearing legs, each between a CCP (ICE Clear Credit, ICE Clear Europe, and LCH.Clearnet) and the original counterparty in the underlying trade. As these are not price-forming trades, the counts in the last column of the table are adjusted to reflect the original counterparties, excluding a CCP. Though original counterparties cannot be paired up to same-day cleared trades, to adjust for same-day clearing each leg against the CCP is counted as one half of a transaction and the notional amount of the trade is halved as well.

Principal holders of CDS risk exposure are represented by "accounts" in DTCC-TIW.[826] The staff's analysis of these accounts in DTCC-TIW shows that the 2,397 transacting agents

825 *See* 15 U.S.C. 80b-1 through 80b-21. The staff in the Division of Economic and Risk Analysis determined whether an entity is an SEC registered investment adviser using the Investment Adviser Public Disclosure website. *See supra* note 824.

826 "Accounts" as defined in the DTCC-TIW context are not equivalent to "accounts" in the definition of "U.S. person" in SEA Rule 3a71-3(a)(4)(i)(C). They also do not necessarily represent separate legal persons. One entity or legal person might have multiple accounts. For example, a bank may have one DTCC-TIW account for its U.S. headquarters and one DTCC-TIW account for one of its foreign branches.

classified in Table 3 represent 16,061 principal risk holders. Table 4 below classifies these principal risk holders by their counterparty type and whether they are represented by a registered or unregistered investment adviser.[827] For instance, banks in Table 3 allocated transactions across 375 accounts, of which 35 were represented by investment advisers. In the remaining instances, banks traded for their own accounts. Meanwhile, ISDA-recognized SBS dealers in Table 3 allocated transactions across 104 accounts. Private funds are the largest type of account holders that the Commission was able to classify.[828]

**Table 4. The number and percentage of account holders—by type—who participate in the SBS market through a registered investment adviser, an unregistered investment adviser, or directly as a transacting agent, from Nov. 2006 through Sep. 2022.**

| Account Holders by Type | Number | Represented by a registered investment adviser | | Represented by an unregistered investment adviser | | Participant is a transacting agent[a] | |
|---|---|---|---|---|---|---|---|
| Private Funds | 4,816 | 2,486 | 52% | 2,271 | 47% | 59 | 1% |
| DFA Special Entities | 1,631 | 1,565 | 96% | 44 | 3% | 22 | 1% |
| Registered Investment Companies | 1,454 | 1,367 | 94% | 83 | 6% | 4 | 0% |
| Banks (non-ISDA-recognized SBS dealers) | 375 | 26 | 7% | 9 | 2% | 340 | 91% |
| Insurance Companies | 356 | 219 | 62% | 49 | 14% | 88 | 25% |
| ISDA-Recognized SBS Dealers | 104 | 0 | 0% | 0 | 0% | 104 | 100% |
| Foreign Sovereigns | 98 | 71 | 72% | 7 | 7% | 20 | 20% |
| Non-Financial Corporations | 129 | 96 | 74% | 10 | 8% | 23 | 18% |
| Finance Companies | 62 | 46 | 74% | 0 | 0% | 16 | 26% |
| Other/Unclassified | 7,036 | 4,262 | 61% | 2,477 | 35% | 297 | 4% |
| All | 16,061 | 10,138 | 63% | 4,950 | 31% | 973 | 6% |

[a] This column reflects the number of participants who are also trading for their own accounts.

827 Unregistered investment advisers include all investment advisers not registered under the Investment Advisers Act and might include investment advisers registered with a state or a foreign authority, as well as investment advisers that are exempt reporting advisers under section 203(*l*) or 203(m) of the Investment Advisers Act.

828 Most of the funds that could not be classified appear to be private funds. For the purposes of this discussion, "private fund" encompasses various unregistered investment vehicles, including hedge funds, private equity funds, and venture capital funds. There remain over almost 7,000 DTCC-TIW accounts unclassified by type. Although unclassified, Commission staff manually reviewed each account to verify that it was not likely to be a special entity under SEA Rule 15Fh-2(d) and instead was likely to be an entity such as a corporation, an insurance company, or a bank.

As depicted in Figure 1 below, domiciles of new accounts participating in the single-name CDS market have shifted over time. It is unclear whether these shifts represent changes in the types of participants active in this market, changes in reporting, or changes in transaction volumes in CDS referencing particular underliers. For example, the percentage of new entrants that are foreign accounts increased from 24.4% in the first quarter of 2008 to approximately 53% in the third quarter of 2022, which might reflect an increase in participation by foreign account holders in the single-name CDS market, though the total number of new entrants that are foreign accounts decreased from 112 in the first quarter of 2008 to 62 in the third quarter of 2022.[829] Additionally, the percentage of the subset of new entrants that are foreign accounts managed by U.S. persons increased from 4.6% in the first quarter of 2008 to 5.2% in the third quarter of 2022, and the absolute number changed from 21 to 6, which also might reflect more specifically the flexibility with which market participants can restructure their market participation in response to regulatory intervention, competitive pressures, and other incentives.[830] At the same time, apparent changes in the percentage of new accounts with foreign domiciles might also reflect improvements in reporting by market participants to DTCC-TIW, an increase in the percentage of transactions between U.S. and non-U.S. counterparties, and/or increased transactions in single-name CDS on U.S. reference entities by foreign persons.[831]

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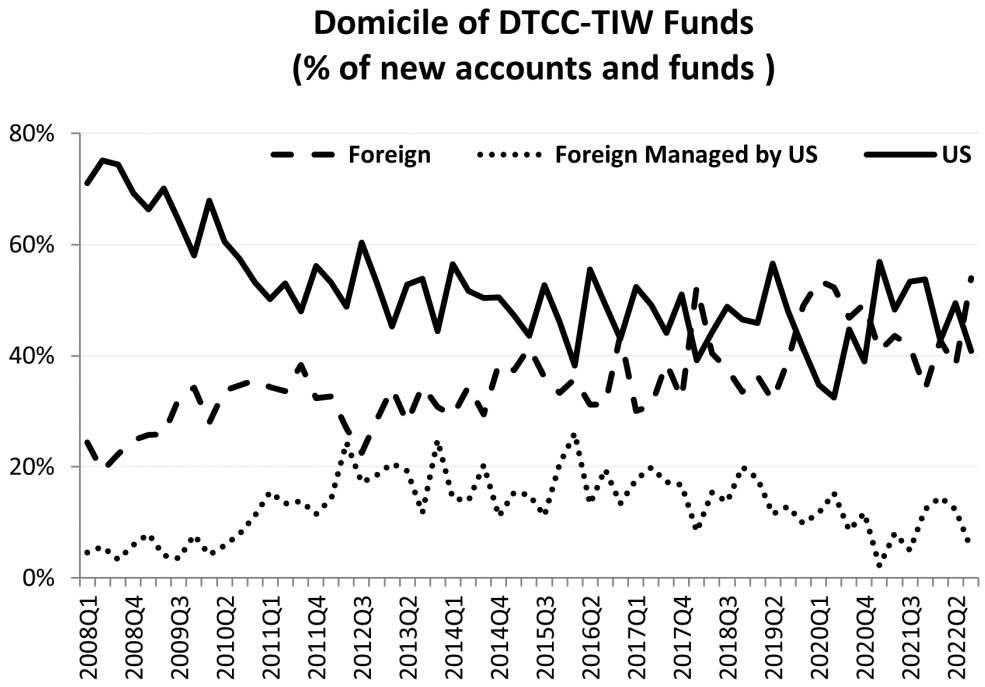
829 These estimates were calculated by Commission staff using DTCC-TIW data.

830 *See* Charles Levinson, *U.S. banks moved billions in trades beyond the CFTC's reach*, REUTERS (Aug. 21, 2015) (retrieved from Factiva database). The estimates of 21 and 6 were calculated by Commission staff using DTCC-TIW data.

831 *See supra* note 820 (discussing the single-name CDS transactions that are in the DTCC-TIW data).

**Figure 1**




**SOURCE: DTCC – TIW.** "US" refers to the percentage of new accounts with a domicile in the United States. "Foreign" refers to the percentage of new accounts with a domicile outside the United States and not managed or affiliated with a U.S. entity. "Foreign Managed by US" refers collectively to the percentage of new accounts outside the United States that are managed by a U.S. person, new accounts outside the United States for a foreign branch of a U.S. person, and new accounts outside the United States for a foreign subsidiary of a U.S. person.[a] Unique new accounts are aggregated each quarter and percentages are computed on a quarterly basis from Jan. 2008 through Nov. 2022.

[a] New accounts outside the United States for a foreign subsidiary of a U.S. person would likely only be subject to the trade execution requirement, should it be in force for single-name CDS, if the U.S. parent provided a guarantee. As such, not all of the "Foreign Managed by US" accounts in this figure would be subject to the trade execution requirement, should it be in force for single-name CDS.

Figure 2 below describes the percentage of global, notional transaction volume in North American corporate single-name CDS reported to DTCC-TIW between January 2011 and September 2022, separated by whether transactions are between two ISDA-recognized SBS dealers ("interdealer transactions") or whether a transaction has at least one non-SBS dealer counterparty. Figure 2 also shows that the portion of the notional volume of North American corporate single-name CDS represented by interdealer transactions has remained fairly constant